



ESBM 3700 ENTREPRENEURIAL ENVIRONMENTS

LECTURE 8

VENTURE PITCHING



University of Colorado **Boulder**

Our path

Module 1

Entrepreneurial Mindset

Ideas to Opportunities

Business Models

Sources of Funding

Lean Startup

Lean Startup Exercise

Venture Pitching

Module 2

Choosing Your Customer

Choosing Your Technology

Choosing Your Identity

Choosing Your Competition

Quiz

Module 3

Disruption Strategy

Intellectual Property Strategy

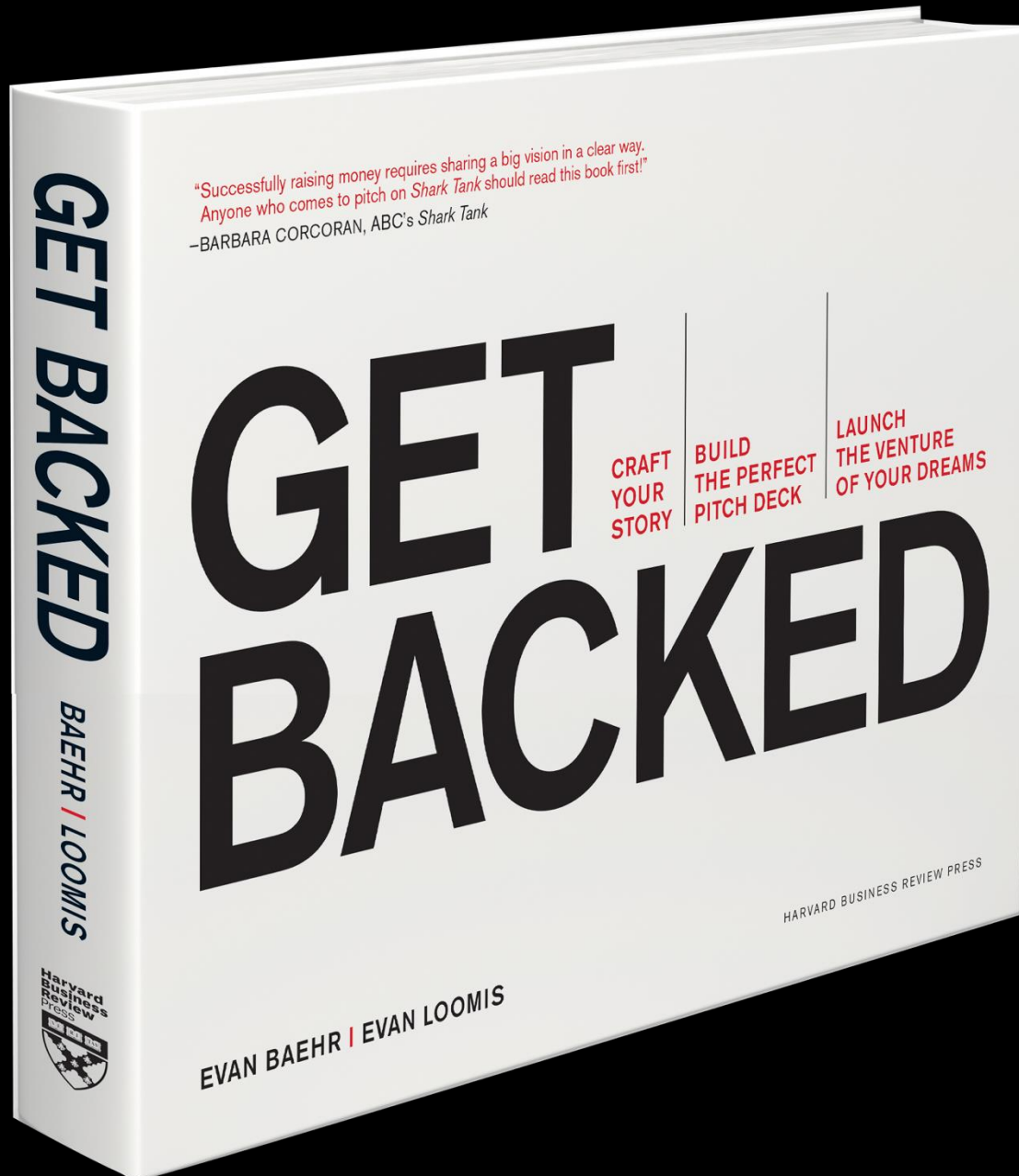
Value Chain Strategy

Architectural Strategy

Bonus: Startup Failure

Bonus: Shark Tank

Final Exam



Get Backed

Evan Baehr
Evan Loomis

Pitch deck

- A pitch deck is a series of words and images that illustrate a venture's story and business model.
- Pitch decks do three things:
 - They get people to understand,
 - They get people to care,
 - And they get people to take action.
- There are two kinds of pitch decks:
 - **Presentation deck:** A visual to assist your oral presentation in an investor meeting or on stage at a demo day.
 - **Reading deck:** A more thorough and detailed deck that can be read and understood without you there.

Building blocks of a pitch deck

- The building blocks of a pitch deck are the slides.
- These are the essential nine slides for your pitch deck (not including your cover page):

Overview

Opportunity

Problem

Solution

Traction

Customer or
Market

Competition

Team

Use of Funds

Cover

- The cover slide captures the audience's attention, sets the tone for the pitch, and serves as a “white space” during a presentation so you can express gratitude for your audience's time, show your passion for your venture, and build trust by mentioning mutual connections.
- It should demonstrate:
 - Clean Logo
 - Inviting picture
 - Descriptive title
- What questions do I need to answer?
 - Does the cover make you want to open the pitch deck?
 - Does the cover visual communicate what the product is or who it serves?

Uber

UberCab



Next Gen Car service



Overview

- The company overview is your “elevator pitch” — the fifteen-second version of your deck. It describes a problem you see in the world and how you are going to solve it. Give your audience a small taste of what your company does, but leave them hungry for more.
- It should demonstrate:
 - Clarity
 - Swagger
 - Passion
- What questions do I need to answer?
 - What exactly does your company do?
 - What industry are you in?
 - Is this a novel idea?

What is thefacebook.com?

thefacebook.com is an expanding online directory that connects students, alumni, faculty and staff through social networks at colleges and universities. This online directory allows for user connections on the basis of friendship, courses and social networks (including intra and inter-school networks), and has a built-in messaging system.

Opportunity

- The opportunity slide is your chance to describe your industry and how your business will work within it. You will describe trends within that environment, the size of your market, and the growth potential of your venture.
- It should demonstrate:
 - Explosive market sectors
 - Confusion and ambiguity in the market
 - Thoroughness
- What questions do I need to answer?
 - What trends is your company riding?
 - How big is the market?
 - How big can your company be?
 - What are the macro- and micro-trends that your company will be riding?

Business email is huge and growing



Ubiquitous,
standard, reliable

1
billion

Corporate email
accounts

130
billion

Business emails
per day (+4% / year)

Problem

- Describe the problem you are solving and how and why that problem is helpful.
- It should demonstrate:
 - A big problem in a big market
 - Deep understanding
 - A specific person
- What questions do I need to answer?
 - What is the problem?
 - How big is the problem?
 - Why does the problem exist?
 - How is the problem currently being addressed?

Problem

Price is an important concern for customer booking travel online.

Hotels leave you disconnected from the city and its culture.

No easy way exists to book a room with a local or become a host.

Solution

- Make your solution as realistic and interactive as possible. In meetings, bring the physical product or do an interactive demonstration. Short (one- to three-min) videos, illustrations, screenshots, pictures, prototypes, samples, sketches, or demos are all great ways to show rather than tell your solution.
- It should demonstrate:
 - Beauty
 - Surprise
 - Repeatable and scalable
 - Solving something painful
 - Team excellence
- What questions do I need to answer?
 - Does it solve the customer's problem like magic?
 - Is the customer going to crave this product?
 - What will the customer's life be like once the problem is solved?
 - How are you going to pull this off?
 - Is it awesome?

Solution

A web platform where users can rent out their space to host travelers to



Save Money

by traveling



Make Money

by hosting



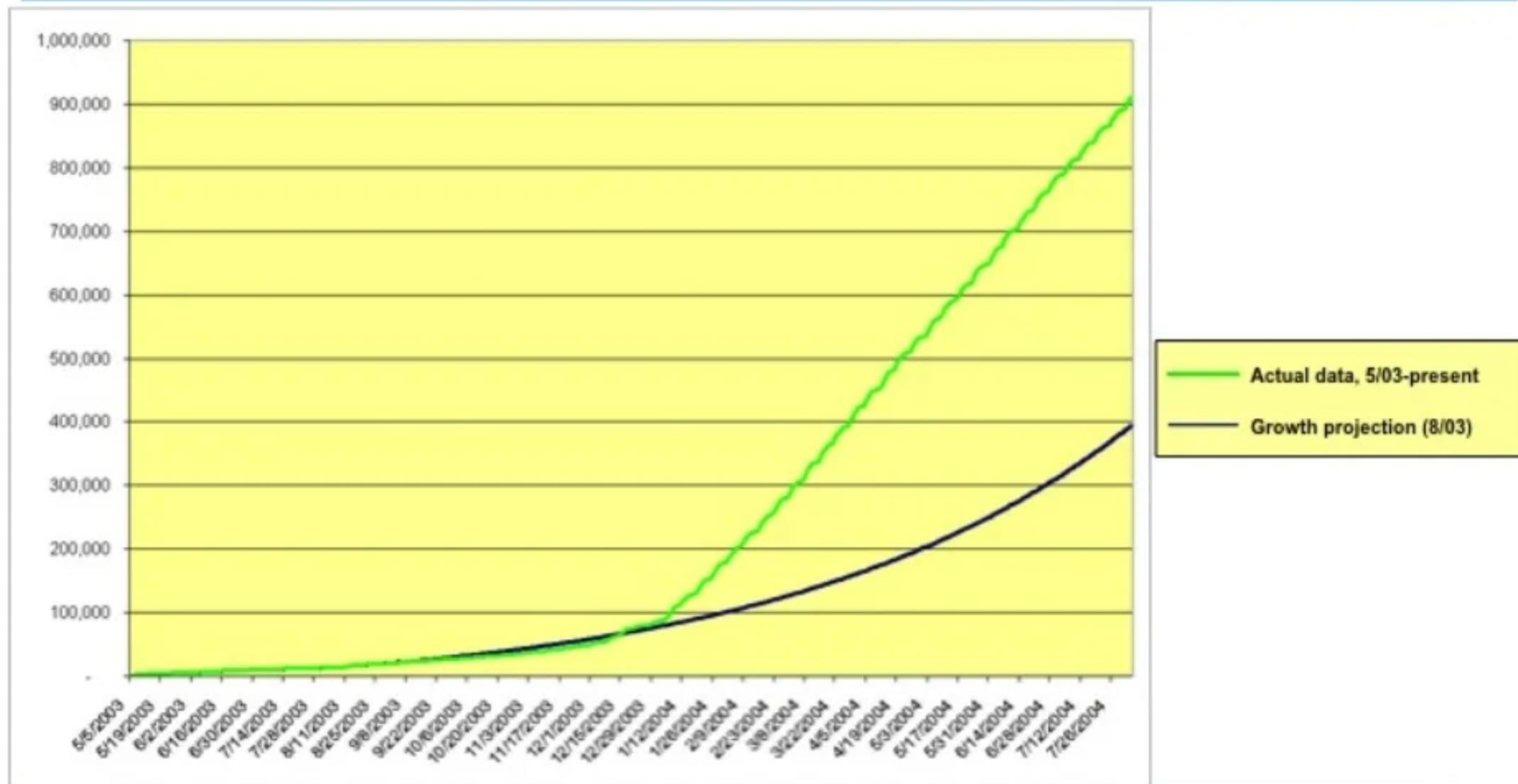
Share Culture

by connecting to the city

Traction

- Demonstrate that each of your assumptions about the venture is validated and you are making significant progress. The most common way to show traction is through growing sales or users, but you can also focus on key metrics you have identified.
- It should demonstrate:
 - A pattern of fast-growing momentum
 - Clarity around what you are measuring and why it matters
 - A clear sales process you use to attract, educate, qualify, close, and provide after-sale service for your customers.
- What questions do I need to answer?
 - Is there massive growth?
 - Where are the venture's assumptions proving validated?
 - What is the strategy to reach and close more customers?

Network Growth: Success



"LinkedIn has quickly become the Internet's largest online business network."

"LinkedIn is the most strict about keeping its site solely for professional, business purposes."

Forbes
March 2004

Customer or Market

- Describe your customers to show how well you know your market. If you already have sales, you can use those as an example. Also describe how many potential customers are out there who will want to buy your product.
- It should demonstrate:
 - The customer
 - A clearly defined market
 - Revenue
- What questions do I need to answer?
 - Who is your customer?
 - How will you reach the customer?
 - What is the acquisition cost per customer?
 - Is your customer willing to pay for your product or service?

MARKET SIZE



The infographic consists of three white circles of decreasing size from left to right, each containing a red number. The circles are positioned above their respective labels. The first circle is the largest and contains '+1.9B'. The second circle is medium-sized and contains '532M'. The third circle is the smallest and contains '10.6M'.

+1.9B

TRIPS BOOKED (WORLDWIDE)
Total Available Market

532M

BUDGET & ONLINE TRIPS
Serviceable Available Market

10.6M

TRIPS W/AB&B
Market Share

Competition

- List competitors and describe how each competes in the market. Then, show what differentiates you from competitors and what advantage you have over them. Partnerships, technology expertise, intellectual property, simplicity, business processes, and networks can all be significant advantages.
- It should demonstrate:
 - Industry knowledge
 - Sober judgment
 - Differentiation
 - Unique advantage
- What questions do I need to answer?
 - Who are your primary and secondary competitors and in what ways do they compete for your customers?
 - Are there any unknown or potential competitors that would have a better advantage than you if they entered the market?
 - How will you disrupt the current competitive landscape?
 - Why won't an incumbent rip your product off and roll it out faster than you can?

Our Offering vs. The Competition

		 Bing	 百度		
Shows Most Relevant Results	✓				
Load Time < 1 Second	✓	✓	✓	✓	✓
Shows > 8 File Types	✓	✓	✓		
Largest Ad Inventory Volume	✓				
Owns Mobile Operating System	✓				

Please Note: This slide is for example purposes only and does not necessarily reflect the competitive position of companies in the search market.

Team

- Give the background for each of the key team members, including their current roles, prior experience, significant accomplishments, and education. If there are any major investors or advisers, you can name them here.
- It should demonstrate:
 - Brevity
 - Domain expertise
 - Passion, intensity, and a good team culture
- What questions do I need to answer?
 - Why are you the right people for the job?
 - Is this team sufficient to accomplish the goal?
 - Are there others who need to be hired?



'Wale
CEO/Co-Founder
5+ Years
Product Development
& eCommerce



Teniola
COO/Co-Founder
10+ Years
Beauty Industry



'Seye
CTO
7+ Years
Software Development

Use of funds

- Have a clear ask of the investor. This is married with an understanding of what the investor gets in return and what the money will be used for. Spell out how you actually plan to use the money you are asking for. What will it give you in terms of resources or achieved milestones?
- It should demonstrate:
 - Clarity
 - Milestones
- What questions do I need to answer?
 - What size and type of investment are you looking for?
 - How will you spend it?
 - What will you accomplish with it?
 - Who else is likely to be participating in this investment round?

The Ask

\$500,000

We are looking for \$500k in funds to finish development of our product, release a beta, launch new offices, and hire key staff



Product Dev.

\$150,000

- Generating and screening the idea
- Testing the concept
- Business analytics
- Beta / Marketability Test
- Post Launch Review and Perfect Pricing



New Hires

\$250,000

- Hire Key People in the following fields: IT, Marketing and Design
- Hire minimum 10 people globally for fast and comprehensive support



Office & Other

\$100,000

- Find a great location for 20 person staff in San Francisco
- Monthly payments for IT services
- Beta Launch promo campaign on relevant blogs, media website, etc

A few reminders ...

- The pitch should capture YOUR story (and your firm's story).
- You can change the order of the slides, based on how you would like to tell your story.
- You can have other slides in your pitch deck that can be in the presentation or hidden for possible questions, including but not limited to:
 - Achieved milestones
 - Business model
 - Patents
 - Branding
 - Mission
 - Vision

THANK YOU!